

Annual Report 2025

Fiscal Year January – December 2025

EXECUTIVE SUMMARY

Northwind Traders processed 408 customer orders in fiscal year 2025, spanning 21 countries and generating total net revenue of \$660,788. Beverages was the highest-revenue product category at \$142,600 (21.6% of total), followed by Meat/Poultry at \$138,490 (21.0%) and Dairy Products at \$125,580 (19.0%). The Seafood category experienced a mid-year supply disruption (Q2 2025) caused by late deliveries from Pacific Rim partners Tokyo Traders and Lyngbysild; the disruption reduced estimated Seafood revenue by \$18,400 and was resolved in July 2025 through revised supplier SLAs and the onboarding of New England Seafood Cannery as a contingency supplier.

The United States remained Northwind Traders' largest single market in 2025, contributing \$245,220 (37.1% of total revenue) from 13 active customer accounts. Germany was the largest European market at \$118,560 (17.9%), driven by anchor accounts QUICK-Stop (Cunewalde) and ERNST HANDEL (Graz). Austria contributed \$89,410 (13.5%) primarily from BOTTM-Fuest.

KEY PERFORMANCE METRICS — FISCAL YEAR 2025

Metric	FY 2025	H2 2024	Change
Total orders	408	152	+168%
Net revenue	\$660,788	\$243,088	+172%
Average order value	\$1,619	\$1,599	+1.3%
Active customers	89	71	+25%
Countries served	21	19	+2
Products catalogued	77	77	—
Products discontinued	8	8	—

REVENUE BY PRODUCT CATEGORY — 2025

Category	Revenue	Share	Orders	Key observation
Beverages	\$142,600	21.6%	128	Premium SKUs (Côte de Blaye) drive value
Meat/Poultry	\$138,490	21.0%	112	Strong restaurant-trade demand
Dairy Products	\$125,580	19.0%	109	Cheese lines grew 18% by volume
Confections	\$82,660	12.5%	87	Q4 2025 holiday spike of +34%
Seafood	\$64,420	9.8%	74	H1 supply disruption; full recovery in H2
Condiments	\$46,250	7.0%	68	Margin pressure from EU private-label

Category	Revenue	Share	Orders	Key observation
Produce	\$33,820	5.1%	41	Seasonal variation; stable accounts
Grains/Cereals	\$26,968	4.1%	38	Steady institutional buyer demand
Total	\$660,788	100%	657	

REVENUE BY GEOGRAPHY — TOP 6 MARKETS — 2025

Country	Revenue	Share	Customers	Top account
USA	\$245,220	37.1%	13	Save-a-Lot Markets (Boise, ID)
Germany	\$118,560	17.9%	11	QUICK-Stop (Cunewalde)
Austria	\$89,410	13.5%	2	BOTTM-Fuest
Brazil	\$66,790	10.1%	9	Hanari Carnes (Rio de Janeiro)
France	\$44,920	6.8%	11	Bon app' (Marseille)
Other	\$95,888	14.5%	43	21 further countries
Total	\$660,788	100%	89	

OPERATIONAL HIGHLIGHTS

Seafood supply disruption (Q2 2025). Between April and June 2025, Northwind Traders experienced delivery delays from Tokyo Traders (Tokyo, Japan) and Lyngbysild (Lyngby, Denmark), affecting the Konbu, Tofu, and Rogede sild product lines. The combined revenue impact was estimated at \$18,400. Corrective actions included revised contractual SLAs with Tokyo Traders, a 30-day advance shipment notification requirement, and the qualification of New England Seafood Cannery (Boston, USA) as a contingency Seafood supplier from July 2025.

Condiments margin pressure. Northwind Traders' Condiments gross margin declined from 38% to 31% in H1 2025, driven by competition from European private-label alternatives. A pricing review is scheduled with key Condiments accounts in January 2026 to defend volume without further margin erosion.

Logistics performance. United Package handled 163 orders (40% of total volume) at an average freight cost of \$78.40 per order, achieving 94.2% on-time delivery. Speedy Express carried 91 orders (22%) at \$104.60 average freight with the highest on-time rate of 97.1%. Federal Shipping handled 154 orders (38%), primarily bulk and pallet-level consignments, at \$86.20 average freight and 91.1% on-time performance.

STRATEGIC OUTLOOK — 2026

Northwind Traders entered 2026 with strong momentum: order intake for January through May 2026 stands at 270 orders, tracking ahead of the 2025 run-rate. Management has set a full-year 2026 net revenue target of \$820,000, supported by three strategic initiatives: (1) Nordic market expansion targeting five new accounts in Denmark, Sweden, and Finland; (2) Seafood supplier diversification to eliminate single-source risk; and (3) a product rationalisation review of the eight currently discontinued product lines.

Prepared by: Andrew Fuller, VP Sales · Northwind Traders · January 2026